



trend was bearish, he would make a lot of money. Similarly investors were very shy of the stock markets after the tech bust in 2000. The stock markets were very subdued and investors preferred to put their money in fixed income securities and banks. If one were aware of the trends and thinking of increasing the velocity of one's money, one would have invested in stocks in the year 2002–2003 when the valuations were very cheap. Many wise investors did that and reaped the benefits. Of course to do this you require sufficient financial knowledge and wisdom, or the right professionals advising you.



Each Plan is Different

Investment plans also differ from person to person depending upon the age, gender, size of the family, aspirations, goals, etc. For a young man of 20 years, stocks and real estate could be the dominant vehicles as he is starting his life and his risk-taking ability is much more. For a retired person of 70 years, bonds could be the dominant vehicle as safety is more important. For a family with daughters to be married, gold and jewellery could be the dominant vehicle as against a family with sons where real estate could be the dominant vehicle.



Trading is not Investing

We find so many people focusing on a product, say *stocks*, and a procedure, *trading*, but they do not have an investment plan in place. Most people are trying to make money by what they think is investing. But trading is not investing; it is only a procedure or a technique. We come across a lot of youngsters today who when asked what they do for a living, proudly answer that their business is investing. They go early to a broker's office when the markets open and remain there till evening. All day they buy and sell stocks. They believe they are investing when actually they are trading. This is the new breed of traders known as day traders.